

Video: Inside China's Property Crisis

Watch the video from Bloomberg Originals and answering the following questions about asset bubble boom and bust.

<https://www.youtube.com/watch?v=Qhwk3O6JHZk>

Fill-in-the-Blank (One or multiple answers)

1. The collapse of Evergrande exemplifies _____ because the company took excessive risks, assuming the government would bail them out.
 - Moral Hazard
 - Adverse Selection
 - Debt Deflation
 - Free-Rider Problem
 - Asset-Price Bubble

Answer: Moral Hazard

2. A key similarity between China's property crisis and the 2007–2009 financial crisis is the role of _____ in amplifying systemic risk.
 - Overleveraged institutions
 - Financial innovation
 - Subprime lending
 - Government bailouts
 - Shadow banking

Answer: Overleveraged institutions; Financial innovation

Chinese developers relied heavily on **presales** to fund new projects. This is a form of **financial innovation** where developers sell properties before they are built, using the funds to finance construction and acquire new land.

This model created a **highly leveraged system**, as developers depended on continuous cash flow from presales to sustain operations. When sales slowed or stopped, developers faced liquidity crises, amplifying systemic risk. In China, **the presale model** and reliance on shadow banking acted as financial innovations that spread risk across the property market and financial system. When the property market slowed, these innovations magnified the crisis.

In the 2007–2009 crisis, financial innovation in the form of mortgage-backed securities (MBS) and collateralized debt obligations (CDOs) allowed banks to bundle risky mortgages and sell them to investors. This spread risk across the financial system but also amplified systemic risk when the housing bubble burst.

Both crises show how financial innovation can create interconnected risks. In China, the presale model tied developers, banks, homebuyers, and shadow banking institutions into a fragile web. When one part of the system failed (e.g., developers defaulting), the entire system was at risk.

Developers in China used complex financial structures to raise funds, such as offshore bonds and shadow banking loans (e.g., trust companies). These financial innovations allowed developers to bypass traditional lending restrictions and accumulate massive debt. Leading to high leverage ratio in developers.

Offshore Bonds: debt securities issued by companies in foreign markets (e.g., Hong Kong, Singapore, or the U.S.) rather than in their domestic market. These bonds are typically denominated in foreign currencies, such as U.S. dollars, and are sold to international investors.

Shadow Banking Loans: refers to financial activities conducted by non-bank institutions (e.g., trust companies, wealth management firms, and private lenders) that operate outside the traditional banking system. Shadow banking loans are funds provided by these non-bank institutions, often at higher interest rates and with less regulatory oversight than traditional bank loans.

Shadow banking contributed to the crises, it is not the primary driver of systemic risk in the same way that overleveraged institutions and financial innovation were.

True/False Questions

Moral hazard occurs when borrowers take excessive risks because they do not bear the full consequences, as seen in Evergrande's assumption of a government bailout.

- Answer: True.

Collateral requirements reduce moral hazard by ensuring borrowers have more to lose if they default.

- Answer: True.

Country Garden's financial struggles is an "isolated event" caused by poor management, not systemic issues.

- Answer: False.

1. Broader Context of China's Property Market Crisis

Country Garden's financial difficulties are part of a larger systemic issue in China's property market. The sector has been under **significant stress due to excessive debt, declining sales, and regulatory tightening**, such as the "Three Red Lines" policy aimed at curbing developer leverage. These factors have affected multiple developers, not just Country Garden, indicating a **widespread problem rather than an isolated incident**

2. Market Sentiment and Investor Confidence

The **collapse of confidence in China's property market has led to widespread investor concerns**, affecting not only Country Garden but also other developers and financial institutions tied to the sector. This contagion effect underscores the interconnected nature of the crisis

Conclusion

Country Garden's financial struggles are deeply intertwined with the structural issues in China's property market. While the company's specific challenges may have unique aspects, they are part of a larger, systemic crisis affecting the entire industry.

Multiple Choice Questions (1 correct answer)

1. Asset-Price Boom and Bust

Which of the following best describes the asset-price boom and bust cycle in China's property market?

- A) A steady increase in property prices due to high demand.
- B) A rapid rise in property prices followed by a sharp decline due to government regulation and financial instability.
- C) A continuous decline in property prices due to oversupply.
- D) A stable property market with no significant price changes.

Correct Answer: B)

What role did Chinese banks play in the property market crisis?

- A) They stopped lending to developers, causing the crisis.
- B) They provided excessive loans to developers, contributing to the bubble.
- C) They regulated the property market effectively.
- D) They had no role in the crisis.

Correct Answer: B)

Multiple Choice Questions (Multiple Correct Answers)

Which of the following were primary goals of China's "Three Red Lines" policy ?

- A) Encourage rapid expansion of property developers.

- B) Limit property developers' ability to borrow excessively.
- C) Increase homebuyers' mortgage interest rates.
- D) Reduce systemic risk in the financial sector caused by developer debt.
- E) Ensure developers maintain sufficient liquidity to avoid defaults.

Answers:

- B)
- D)
- E)

Which factors contributed to the asset-price boom in China's property market?

- A) Rapid urbanization and rising incomes.
- B) Strict government regulations on borrowing.
- C) Developers' reliance on presales to fund new projects.
- D) Declining demand for housing.

Answers: A, C

A Chinese developer uses presale funds to buy land for new projects instead of completing existing ones. This led to protests when buyers realized their homes were not built. Which asymmetric information problems does this scenario reflect?

- A) Adverse Selection
- B) Moral Hazard
- C) Free-Rider Problem
- D) Debt Deflation

Answer: A, B

Which factors from the 2007–2009 crisis are also visible in China's property crisis?

- A) Overreliance on collateralized debt obligations (CDOs).
- B) Government bailouts of major financial institutions.

C) A surge in subprime lending.

D) Declining trust in credit rating agencies.

Answer: B, C

B: While the term "bailout" is not explicitly used, the government's actions to ensure liquidity for developers and protect homebuyers function as a form of bailout.

For example, the **government's push for banks to lend to developers** can be seen as an implicit bailout, as it provides financial support to struggling companies to prevent defaults and maintain stability in the property market.

"The government has also stepped in to ask the banks to lower the interest rates they charge on mortgages." The Chinese government also intervened by lowering mortgage interest rates to ease the financial burden on homebuyers and stimulate demand in the property market. This type of intervention is similar to the measures taken during the 2007–2009 crisis, where governments and central banks (e.g., the U.S. Federal Reserve) implemented policies to support borrowers and stabilize the housing market.

Sequencing Questions

Order the Stages

Question: Arrange the following stages of a financial crisis in the correct order:

1. Banking Crisis
2. Asset-Price Decline
3. Credit Boom
4. Debt Deflation

Answer: 3 → 2 → 1 → 4